

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

RESPONDENTS' MOTION FOR ENTRY OF A PROTECTIVE ORDER

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, move for a protective order precluding Complainant Bed Bath & Beyond Inc.’s (“Complainant” or “BBBY”) ¹ discovery requests seeking information related to Respondents’ relationship with other shippers or, in the alternative, for a protective order narrowly tailoring the scope of Complainant’s discovery requests related to Respondents’ relationship with other shippers. In the further alternative, the Presiding Officer should stay discovery on Respondents’ relationship with shippers other than Complainant (“other shippers”) until the Presiding Officer (and possibly the Commission) decides the Complainant’s Motion for Partial Decision on the Pleadings.

We conferred with BBBY’s counsel about the reasons for this motion and the Parties exchanged the following views:

OOCL’s counsel:

1. A protective order is required because the Federal Maritime Commission lacks authority to regulate the reasonableness of cargo-space accommodations during the period noted in the Verified Complaint and, thus, Complainant’s claim in Count 1, which alleges that “Respondent’s practices alleged herein of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers, violates 46 U.S.C. § 41102(c)”

¹ Respondents and Complainant are collectively referred to herein as the “Parties.”

is legally untenable and any discovery in connection with that claim is irrelevant.

BBBY's counsel:

1. *As you'd expect, given the motion for partial decision on the pleadings that we have filed in this case, we disagree with, and will oppose, your position in your point 1 below. As you know, Chief Judge Wirth has already repeatedly rejected such arguments about the Commission's jurisdiction, the legal viability of such claims under 46 U.S.C. § 41102(c), and the relevance to such claims of discovery regarding a respondent's conduct with respect to shippers other than the complainant.*

OOCL's counsel:

2. Even if the Commission had such authority, Complainant's discovery requests in connection with Respondents' relationship with virtually all of its 1,300 customers are an impermissible and impossibly broad fishing expedition for irrelevant materials. Thus, if the Presiding Officer decides to allow some discovery, she should still grant a protective order limiting the scope of the requests by the narrowly tailored search criteria Respondents propose: (i) an agreed 6-month timeframe; (ii) for the same port pairs as the BBBY service contracts; (iii) using non-reefer equipment; and (iv) General Department Store Merchandise ("GDSM") commodities.

BBBY's counsel:

2. *On your point 2 below:*

1. *Although we agree that focusing discovery on (a) the same port pairs that BBBY had in its service contracts with OOCL and (b) non-refrigerated cargo makes sense, we don't see a basis for limiting discovery regarding other shippers to those that shipped General Department Store Merchandise with OOCL. As previously noted, in our view, any other shipper that got its (non-refrigerated) containers on board OOCL's vessels for carriage between the port pairs in BBBY's service contracts is relevant to our claims, regardless of what was in those containers.*

2. **However**, please note that, as I previously mentioned, we would like to get an understanding of what exactly would be excluded if discovery were limited to shipments of General Department Store Merchandise, so I don't think we are necessarily at an impasse on that particular point yet.

3. *As we have previously noted, we cannot agree to your proposal of a six-month window for discovery, given the full-year nature of our allegations and the typically annual scope and nature of parties' dealings in this*

industry generally. A six-month window would give, at best, an incomplete picture of OOCL's policies and practices in action and, at worst, a misleading picture of those policies and practices.

OOCL's counsel:

3. Finally, should the Presiding Officer decline to issue a protective order, the Presiding Officer should stay any such "other shipper" discovery until she has rendered a decision on Complainant's pending Motion for Partial Decision on the Pleadings, which may completely dispose of Complainant's cargo-space accommodation claim.

BBBY's counsel:

3. *Although we agree that Chief Judge Wirth's ruling on our pending motion for partial decision on the pleadings likely will inform this discovery dispute and its resolution, given the tight time frame for discovery under the FMC's rules (from which the parties have already jointly sought relief), we don't think it makes sense to stay some portions of discovery and not others, and consequently would oppose the partial stay that you propose in your point 3 below.*

See Exhibit A hereto, email exchanges between OOCL and BBBY's counsel.

Finally, Respondents respectfully request that the Presiding Officer schedule a hearing on this Motion.

PRELIMINARY STATEMENT

Respondents require a protective order because the Commission lacks authority to regulate the reasonableness of cargo-space accommodations during the period noted in the Verified Complaint and, thus, Complainant's claim is legally untenable and any discovery in connection with that claim is irrelevant.

Even if the Commission had such authority, which it does not, Complainant's discovery requests in connection with Respondents' relationship to virtually all of its 1,300 customers are an impermissible and impossibly broad fishing expedition for irrelevant materials.

Finally, should the Presiding Officer decline to issue a protective order, Respondents respectfully request that the Presiding Officer stay any such “other shipper” discovery, at least until she has rendered a decision on Complainant’s pending Motion for Partial Decision on the Pleadings, which may effectively dispose of Complainant’s cargo-space accommodation claims.

RELEVANT PROCEDURAL HISTORY

1. The Specific Requests at Issue

The Parties have exchanged extensive requests for production of documents and interrogatories (the “Discovery Requests”). The Discovery Requests at issue and Respondents’ Responses and Objections to those Discovery Requests are set forth in Exhibit B (the “Other Shipper Requests”).

2. The ESI Protocol

As a result of the necessarily large number of custodians and the significant period implicated by the Parties’ claims and defenses in this action, the Parties mutually agreed to prepare a Protocol Regarding Electronically Stored Information (the “ESI Protocol”). The purpose of the ESI Protocol is to limit the scope of discovery and their respective burdens through negotiated search terms. The Parties intend the ESI Protocol to govern the collection, review, and production of documents and ESI in response to the Parties’ respective discovery requests, including proposed date ranges, custodians, and search terms. The ESI Protocol anticipates the collection and review of documents from forty-eight custodians for a period dating back to at least January 2020 (and possibly back to January 2017).

The Parties have reached agreement on most of the ESI Protocol but cannot reach agreement on discovery with respect to the “Other Shipper Requests,” *i.e.*, those reflected in Exhibit B attached herewith. In particular, Complainant requested an extremely broad range of

documents and communications concerning Respondents’ policies, practices and conduct with respect to shippers other than Complainant during the period from January 1, 2020, through at least June 9, 2023.

3. The Meet and Confer Meetings Regarding “Other Shippers” Search Terms

As set forth in the Argument section below, BBY possesses no legal basis to pursue any claims related to cargo-space accommodations before the Commission, which include these Other Shipper Requests, and, thus, BBY is not entitled to any discovery related to those claims. Notwithstanding and without prejudice to Respondents’ position, to meet and confer on this point in good faith, the Parties exchanged regular email communications—sharing drafts and redlines of the ESI Protocol which addressed the Other Shipper Requests—and also met and conferred regarding this dispute via videoconference on June 21, June 23, July 12, and July 21, 2023.

Respondents attempted to resolve this dispute with Complainant by offering a reasonable accommodation on the Other Shipper Requests. In particular, Respondents agreed to the search terms Complainant proposed for the Other Shipper Requests in the ESI Protocol, but advised Complainant they could not agree to run those terms against each and every one of Respondents’ 1,300 customers for the time frame of January 1, 2020 through at least June 9, 2023, without any further limitations, as that would be prohibitively burdensome, not relevant to the claims and defenses in this action, and would be tantamount to a fishing expedition. Such a search would involve approximately 1,300 other customers, and likely hundreds of thousands or millions of documents retrieved. Respondents’ proposed criteria which would narrow the discovery responses for the Other Shipper Requests to (i) an agreed 6-month timeframe; (ii) for the same port pairs as the BBY service contracts; (iii) using non-reefer equipment; and (iv) General Department Store Merchandise (“GDSM”) commodities. Such a search will also be massive, but Respondents agree

to defer addressing whether it is unmanageable at least until it runs the searches and identifies the number of hits.

On August 1, 2023, Complainant agreed to two of Respondents’ proposed limitations—*i.e.*, the same port pairs as the BBY service contracts and non-reefer equipment—but it did not agree to Respondents’ proposed limitations for either the timeframe or the commodity-type.

ARGUMENT

1. Legal Standard

The Commission’s Rules entitle parties to discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter.” 46 C.F.R. § 502.141(e)(1). Importantly, the Commission’s discovery rules must be “construed to secure the just, speedy, and inexpensive determination of every proceeding.” 46 C.F.R. § 502.1. Discovery should not be ordered where it subjects a party to undue burden or unnecessary expense, or where the burden or expense of the proposed discovery outweighs its likely benefit. See 46 C.F.R. §502.141(e)(2)(ii)(C). Discovery should also not be ordered where it would be unreasonably cumulative or duplicative or can be obtained from some other source that is more convenient, less burdensome, or less expensive. See 46 C.F.R. §502.141(e)(2)(ii)(A).

The Commission’s Rules also permit the presiding officer to “issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” 46 C.F.R. § 502.141(j).

Applying these standards, Respondents respectfully urge the Presiding Officer to enter an order protecting Respondents from Complainant's legally irrelevant and unduly burdensome discovery requests.

2. A Protective Order is Required Because the Discovery Sought is Related to a Legally Untenable Claim

The only count in the Complainant that refers to "other shippers" is Count I, which avers that "Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers" violates 46 U.S.C. § 41102(c). ¶123 Complaint at pp. 29-30. No other Count refers to "other shippers."²

As fully set forth in Respondents' Answer and Affirmative Defenses, and in their Opposition to Complainant's Motion for Partial Decision on the Pleadings, any such claim is legally untenable because claims with respect to cargo space accommodations are outside the scope of 46 U.S.C. § 41102(c), which covers only a carrier's "terminal functions" and not the "transportation" function. As demonstrated in the Opposition: claims regarding space allocation do not come within 46 U.S.C. § 41102(c), because, as the Commission has held over and over, this section applies by its terms only to disputes "relating to or connected with receiving, handling, storing, or delivering property." See Opp. Br. at pp. 25-27 (filed on July 19, 2023). In *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939) (emphasis added), for

² Should BBY rely upon other counts of the complaint relating to container space allocation claims in defense of this motion for protective order, Respondents draws the Presiding Officer's attention to the arguments raised in Respondents' Opposition to Motion for Partial Decision on Pleadings, which are incorporated herein by reference.

example, the Commission explained that 46 U.S.C. § 41102(c), “relates to services *performed at the terminal* as distinguished from the carrying or transporting by the vessel.”³

Because the issue of “other shippers” relates only to Count I and, as shown above, Count I is unsustainable under many decades of uniform FMC decisions, there is neither need nor basis for discovery regarding such “other shippers.” Accordingly, the Presiding Officer should enter an order protecting Respondents from Complainant’s attempts to obtain discovery of that entirely irrelevant matter. *See, e.g., United States v. Kellogg Brown & Root Servs.*, 284 F.R.D. 22, 37 (D.D.C. 2012) (finding that documents “relating to other contracts or other parties are not facially relevant to the case”).

3. Even if the Discovery Sought Were Relevant to this Dispute—Which it is Not—The Presiding Officer Should Enter a Protective Order Rejecting or Narrowing the Requests Because Complainant’s Virtually Unbounded “Other Shippers” Discovery Requests Are Prohibitively Burdensome

Even if the matter of “other shippers” were relevant to this matter—which Complainant admits it is not other than the legally untenable claim under 46 U.S.C. § 40102(c)—Complainant’s requests for a massive number of documents regarding Respondents’ relationship with shippers other than Complainant constitute an impermissible and impossibly broad fishing expedition, including many documents bearing absolutely no relevance to the sole issue for which they are

³ To like effect, *see, e.g., Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (46 U.S.C. § 41102(c) “is confined to the receiving, handling, storing, or delivering of property to the exclusion of transportation and rates, fares, and charges in connection therewith”); *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966)(46 U.S.C. § 41102(c) “relates only to practices relating to or connected with the receiving handling storing or delivering of property and its application has thus been confined to forwarding and terminal operations”); *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951)(46 U.S.C. § 41102(c) does not apply to matters relating to vessel space); *Definition of Package*, 23 S.R.R. 111, 114 (1985) (46 U.S.C. § 40102(c) and its predecessors “do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property”).

sought—whether Respondent had a “practice” of not meeting its service contract MQC obligations. Specifically, Complainant seeks comprehensive information relating to Respondents’ entire customer portfolio (excluding only the minor fraction that ship just reefer cargo)—over 1,300 shippers—who trade to both U.S. west coast and east coast ports. Taken literally, Complainant asks Respondents to search and produce hundreds of thousands, more likely millions⁴ of irrelevant documents regarding *each and every one* of Respondents’ contractual relationship with over 1,300 shippers during the past three years.⁵ To order such discovery would be clearly abusive and prohibitively burdensome, as well as requiring a further extension of time well in excess of the 90-days requested by the Parties in their Joint Motion to Extend Briefing and Other Deadlines (filed August 4, 2023).

Courts “frequently deny discovery when the party requests voluminous discovery where only a small fraction of the produced documents may be relevant. Courts often call such attempts ‘fishing expeditions.’” *Kellogg Brown*, 284 F.R.D. at 36-37. Courts should not “endorse ‘fishing expeditions,’ discovery abuse and inordinate expense involved in overbroad and far-ranging discovery requests,” but rather should “tailor discovery ‘to the issues involved in the particular

⁴ The number of documents reflecting Respondents’ relationships with other shippers over a three-year period would likely average at least 100 per shipper, and very probably more. Over 1,300 shippers, setting a likely floor of over 1.3 million documents (many of multiple pages). See also, Federal Maritime Commission *61st Annual Report* at 26 (“The Commission has received historic high numbers of service contract amendments in the past year (as shown in Chart 5), over 90,000 in September 2022 alone, which is the highest single month on record.”). As reflected above, Complainant has thus far refused to narrow the types of documents to be searched, reviewed, and produced.

⁵ Apart from the time burden, Complainant’s document request regarding other shippers would impose a related cost burden of substantial magnitude, given the need for counsel to review each document (and each page) before any production might occur. In our experience, it takes, on average, one hour for every 100 documents reviewed. Even at just 100,000 documents (which is way low), it would take 1,000 hours to review the documents before production (not even counting ancillary tasks such as Bates stamping), for a minimum cost of almost \$1 million. If you assume the more likely 1,000,000 documents, the cost would be around \$10 million or more.

case.” *Id.* at 37 (quoting *Hardrick v. Legal Servs. Corp.*, 96 F.R.D. 617, 618 (D.D.C. 1983)). “[A]ll discovery is subject to the balancing test ... that requires a court to limit the discovery ‘otherwise allowed by these rules’ if the burden outweighs its likely benefit. *Prasad v. George Washington University*, 323 F.R.D. 88, 96-97 (D.D.C. 2017) (“Generally, discovery that is ‘too far removed’ from allegations in the operative Complaint is disallowed.”); *see also Miranda v. Mahard Egg Farm, Inc.*, No. 4:19-CV-00092, 2019 U.S. Dist. LEXIS 160660, 2019 WL 4573637, at *10 (E.D. Tex. Sept. 20, 2019) (“As to the unnamed employees, it would be unduly burdensome and expensive to gather every document ever created for each employee . . . Indeed, to order such discovery would be tantamount to judicially sanctioning a fishing expedition.”).

The *Kellogg-Brown* case is instructive. There, the plaintiff sought discovery from the United States related to different contracts not at issue in the case. The United States objected to providing information regarding other contracts or its interactions with other contractors on the grounds that it was not relevant to the claims and defenses in the action. The court agreed, finding “[t]he burden and expense could be massive, and these productions are unlikely to yield much directly relevant information. This is the definition of a fishing expedition that violates the limits on discovery required by Rule 26(b)(2)(C).” *Kellogg Brown*, 284 F.R.D. at 38.

The Presiding Officer’s ruling in *MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA*, Docket No. 21-05 (December 8, 2021), is also instructive. There, the complainant MCS Industries—who was represented by the same law firm that represents Complainant here—filed a motion to compel discovery from the respondent MSC Mediterranean Shipping Company, SA. One category of discovery that MCS Industries requested concerned documents related to MSC’s course of conduct and relationship with other shippers. MCS Industries agreed to narrowly tailor its “Course of Conduct” requests to “conduct between the parties, between California and

two ports in China, over a four-month timeframe.” The Presiding Officer ordered MSC to answer these “Course of Conduct” requests, as limited by the proposals from MCS.

Because Complainant’s discovery requests are of little (or as shown above no) relevance to the issues here, the Presiding Officer should issue a protective order precluding such discovery. And if the Presiding Officer decides to allow some such discovery, she should reject Complainant’s impermissibly and impossibly broad fishing expedition; she should still grant a protective order limiting the scope of the Other Shipper Requests by the narrowly tailored search criteria Respondents propose. This would focus the potentially responsive documents on “other shippers” who ship similar commodities, in similar equipment, and to/from the same port pairs as Complainant.⁶

4. In The Alternative, “Other Shipper” Discovery Should Be Stayed Until After the Presiding Officer Decides the Complainant’s Pending Dispositive Motion

In the alternative, should the Presiding Officer decide, despite the above showing, not to issue a protective order regarding Complainant’s discovery requests related to Respondents’ relationship with other shippers, Respondents respectfully request that any “other shipper” discovery be stayed until after the Presiding Officer (and potentially the Commission)⁷ decides Complainant’s pending Motion for Partial Decision on the Pleadings. *See, e.g., Institut Pasteur v. Chiron Corp.*, 315 F. Supp. 2d 33, 37 (D.D.C. 2004) (Bates, J.) (citing *Anderson v. United States Attorney’s Office*, Civ. A. No. 91-2262 (LFO), 1992 WL 159186, *1 (D.D.C. Jun. 19, 1992))

⁶ As just one obvious example, we believe that the terms and conditions covering service contract transportation in containers of vehicles, earthmoving equipment, boats, chemicals, hazardous materials, etc. would shed no light whatsoever on practices relating to General Department Store Merchandise, the commodity for which BBY contracted.

⁷ As explained in the Opposition, Respondents would have (and certainly exercise) a right to take immediate exceptions to the Commission, should the Presiding Officer dismiss any of their defenses.

(staying discovery during pendency of dispositive motion)); *see also Covad Commc'ns Co. v. Revonet, Inc.*, 250 F.R.D. 14, 18 (D.D.C. 2008) (Kollar-Kotelly, J.) (noting that Court “stayed discovery pending resolution of [] Motion for Judgment on the Pleadings in order to save the litigants potentially unnecessary discovery expenses”); *Clemmons v. U.S. Dep’t of Homeland Sec.*, Civ. A. No. 06-0518 (RCL), 2007 WL 2059796, *1 (D.D.C. July 13, 2007) (granting stay of discovery pending resolution of dispositive motion).

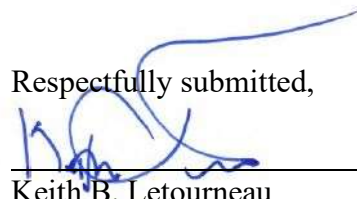
Such a stay would allow the Parties to review the Presiding Officer’s (and possibly the Commission’s) decision on Complainant’s motion for partial disposition before discussing reasonable parameters on the Other Shipper Requests should the dispositive motion not dispose completely of the cargo accommodation claim.

CONCLUSION

For the reasons stated above, Respondents respectfully request the Presiding Officer grant the instant Motion and enter a Protective Order precluding Complainant’s discovery requests seeking information related to Respondents’ relationship with other shippers, or, in the alternative, enter a Protective Order narrowly tailoring the scope of Complainant’s discovery requests related to Respondents’ relationship with other shippers. In the further alternative, Respondents respectfully request the Presiding Officer to issue an order staying discovery on Respondents’ relationship with other shippers until the Presiding Officer (and potentially the Commission) decides Complainant’s Motion for Partial Decision on the Pleadings. Finally, Respondents request such other and further relief as may be just and appropriate.

Dated: August 8, 2023

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on August 8, 2023.



Keith B. Letourneau